The cost of replacing an asset (such as machinery, etc.). Opposite to *historic cost* (i.e. the original cost of acquiring an asset), replacement cost adjusts the effects of inflation.

REPO, REVERSE REPO, & BANK RATE

It is a window which enables a bank or a financial institution to borrow money in the *short term.* In the transaction the entity in question sells government securities or bonds to be lender (another bank or institution), with an agreement to buy the securities back after a specified time and price. It is also called a *repurchase* agreement. (In the US, repo has different meaning; it is used to signify the repossession of hypothicated property by a financier).

A *repo* transaction is in the nature of secured borrowing; the difference between the sale and repurchase price is the borrowing cost. It is usually very short term in nature with the market practice being to conclude the sale and repurchase within a time frame of one day, to a fortnight.

When RBI conducts a repo what it does in effect is lend to banks by purchasing securities and selling them back at a predetermined price. When RBI does a *reverse repo,* it borrows from banks by selling them securities and buying them back at a future date. When RBI does reverse repo, it enables banks to park short-term surplus funds; on the other hand, it's a tool for RBI to manage short-term liquidity. RBI pays an interest of 6 per cent to the banks on reverse repo today. The rate serves as a short term interest rate benchmark for banks and other intermediaries. Similarly, RBI makes funds available to banks through repo at 7.75 per cent today.

In India, only select institutions in the financial sector have RBI's permission to enter into repo and reverse repo transactions.

Significantly, on April 28, 2007, RBI, for the first time allowed listed corporates to participate in the repo market as lenders. Thus, a corporate treasurer can choose between a liquid mutual fund and repo to park surplus money in the short term.